



form video apps today is to develop newer monetisation models. “We are focussed on building monetisation tools on Reels, and towards that we are running several tests in various parts of the world—advertising-supported revenue opportunities, direct fan-based subscription or payments, commerce-based opportunities, and many more,” says Sharma.

Varghese, too, says they are exploring different monetisation opportunities. “Our monetisation plans are going on in full steam to make sure that there is a revenue backing. And revenue backing is not just from an advertising point of view; it is from a user to user interaction point of view, creation of a bigger ecosystem of influencers, including video commerce. Over the last one and a half years, we have grown 5-7x,” he says.

Any social business, he adds, has an initial burn, to make sure that the ecosystem develops at a product level, at an investment in AI level, cloud infrastructure, user acquisition, etc. “And once these things are in place in a reasonable way, then the monetisation starts... I think we are fully on the road to get profitable on ShareChat in 12-18 months.”

Singapore-based app Tiki says social commerce and virtual gifting are the big monetisation models for short video platforms today. “Most social media apps in India rely on the ad business. Traditional monetisation methods mainly allowed digital content creators to earn money through ad revenues and brand sponsorships. However, this required them to have amassed significant engagement numbers or achieved partner status on digital

platforms—a difficult task for casual creators to undertake without significant effort,” says Tiki CEO Ian Goh. Ad revenues, he adds, are often shared with creators in a non-transparent manner. “Ad revenue benefits the platforms themselves more than the creators,” he says.

According to RedSeer, four key factors will drive the growth of short-form video apps in India: video commerce to assist shoppers not well-versed with tech; growth of D2C brands; intimate connections with micro/nano-influencers; and local sourcing and low product average order value. It estimates that of the \$4 billion total live commerce gross merchandise value by 2025, short-form live commerce will be approximately \$2.5-3 billion GMV, with virtual gifting emerging as a monetisation opportunity. And a Bain & Company report says that in India, the daily time spent per active user on online videos has grown by 60-70 per cent from 2018 to 2020. “With the current growth of short video platforms, I believe India has the perfect mix of the two favourite online activities—content consumption and e-commerce. Live commerce is the next big thing that will change the way we consume content today,” says Goh.

Meta’s Sharma sums up the industry’s way forward: “Our efforts should be to ensure we’re democratising information and creative tools available to young people across the country, be it in India or in Bharat.”

While these applications have surely fared well when it comes to democratising Indian content, making money is another battle yet to be won. **BT**

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PARAS SHARMA

DIRECTOR AND HEAD OF CONTENT & COMMUNITY PARTNERSHIPS-ENTERTAINMENT, SPORTS, NEWS, MUSIC, SOCIAL, FACEBOOK INDIA (META)



“There’s a plethora of content out there but people have increasingly started paying more attention to the shorter formats”

AJIT VARGHESE

CHIEF COMMERCIAL OFFICER, SHARECHAT

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